

SCALE BENEFITS

J.P. Morgan India is building scale to get cost benefits and further increase its market share

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BEST
LARGE
FOREIGN
BANK
J.P. MORGAN
INDIA

A FIVE-POINT STRATEGY Kaustubh Kulkarni, Senior Country Officer-India and Vice Chairman-Asia Pacific, J.P. Morgan

BANKS	TOTAL ASSETS	NET NPAs	COST TO INCOME RATIO	ROCE	CAPITAL ADEQUACY
J.P. Morgan India	90,874	0.00%	0.2	15.76%	23.53%
Sumitomo Mitsui Banking Corporation (SMBC)	26,557	0.00%	0.26	3.88%	27.71%
Barclays Bank Plc.	40,146	0.00%	0.3	7.76%	25.11%
HSBC India	2,47,310	0.18%	0.41	10.27%	16.50%
Bank of America	62,333	0.00%	0.36	5.98%	19.62%

Total assets in ₹ crore; data for FY22 **Source** BT-KPMG Best Banks and Fintechs Survey 2021-22

MEANINGFUL MARKET share. Benefits of scale. Innovation. Product quality. Competitive cost. These five factors effectively sum up the strategy of J.P. Morgan India, the local subsidiary of US banking major JPMorgan Chase, which has been present in the

country since 1945.

J.P. Morgan India has emerged as the Best Large Foreign Bank in the BT-KPMG Best Banks and Fintechs Survey 2021-22, for the second year in a row. The bank recorded the lowest cost to income ratio and the highest profit per employee. It also topped the charts on

parameters like return on capital employed and return on assets.

With a balance sheet size of nearly ₹91,000 crore, the bank has significant market share in segments like cross-border payments, institutional equities and investment banking, though it is aiming for a higher share in the pie, as benefits of scale become more visible in the coming years.

“For us, fundamentally there are two principal businesses—banking and markets. The banking business has grown in a meaningful manner across each of the sub-categories. The markets business has also been very strong for us despite the volatility,” says Kaustubh Kulkarni, Senior Country Officer-India and Vice Chairman-Asia Pacific, J.P. Morgan. Currently, the bank has around 45 per cent market share in the cross-border payments segment.

Kulkarni, who took over as India chief in November 2022, believes that the bank just needs to continue on its existing journey and not try anything fancy. The Indian arm of the world's largest bank in terms of market cap—\$397 billion as of January 6, 2023—is also eyeing a bigger share among the emerging businesses of the country.

“We will continue looking at our business to see how the future is and are we aligning ourselves to companies and people that are investing in the future. Emerging business is a very important space for us. The segment of companies, which are there to be covered, is a much larger number than what we are doing currently and we will go after them,” says Kulkarni.

The India business may well be contributing less than one per cent to the bank's global revenues but the country clearly is a focus area. **BT**

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